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HK/CH banks

China banks' risk-off rotation rally may fade; STAN pullback a chance to add

Renewed Middle East conflict concerns and profit-taking in the AI trade appear to be driving a risk-off rotation into perceived safe-haven China SOE banks, while weighing on higher-beta names such as STAN. Looking ahead, we expect today's (July 8) sharp rally in China banks to moderate and anticipate sideways trading into the late-August results season. Within SOE banks, we prefer CCB and BOC; over a six-month horizon, we favor CMB-A and Citic Bank-H for their higher dividend yields (CMB-A: 5.5%, Citic-H: 6.4%). For STAN, despite potential 2Q26 earnings growth headwinds from a high base—reflecting the prior-period disposal gain and elevated episodic income—we view any pullback into results and risk-off trade as an opportunity to accumulate. We believe Middle East exposure risks are manageable, and STAN remains on track to lift ROTE from 11.9% in 2025 toward management's guidance of >15% by 2028 and 18% by 2030. In addition, its valuation is attractive (Figure 3), and with total return higher than the China SOE banks. STAN is our top pick among HK/CH banks.

- The rise of geopolitical risk and profit-taking on AI trade drives banks' share price movement.** On July 7, the US launched a new wave of strikes against Iran and the US President declared that the tentative ceasefire with Iran is done ([link](#)), raising concern of renewed military conflicts in the Middle East region. In our view, this exacerbates the risk-off sentiment, the resulting style rotation trades contributed to today's 5% rally of China SOE banks in H shares, and 2% pullback of STAN, with SOE banks outperforming the HSI by 2ppt and STAN underperforming by 5ppt.
- Examining the drivers for today's China banks rally: *First, China banks underperformed in the past month and valuation is undemanding.*** Prior to today's rally, the MSCI China index had corrected 8% in the past month, underperforming MSCI APAC banks by 16ppt, while the consensus EPS changes for MSCI China banks and MSCI APAC banks (MXACAPBC Index) were quite muted in the same period. The MSCI China banks index was trading at FY1 5x P/E and 0.5 P/B according to Bloomberg consensus, vs MSCI APAC banks at 11x P/E and 1.3x P/B. The past month's movement was driven by style rotation, and now we see a reversal of that. ***Second, China banks, particularly the Big 4 SOE banks, have been viewed as a relative safe haven for risk-off trade,*** thus, in the month after the start of the Iran conflict (on Feb 28), MSCI China banks rose by 5%, outperforming MSCI APAC banks by 15ppt and the HSI by 12ppt in that period (Figure 1). ***Third, we believe the SOE banks are able to sustain the growth momentum in 1Q26*** by delivering mid-to-high single digit revenue growth and 3%-5% profits growth in 2Q26.
- Understanding the STAN weakness: *First, STAN is more exposed to the Middle East compared to HSBC and other HK/CH banks.*** Table 2 shows that the Middle East region contributed ~6% of STAN's risk exposure and 8.1% of PBT in 1Q26. Thus, renewed concern of military conflict may trigger profits taking as STAN's share price is up 28% in the past 3M, beating the HSI by 37ppt and MSCI APAC banks by 23ppt. ***Second, STAN is not in key HK/China indexes.*** Risk-off sentiment drove rotation into MSCI China, which

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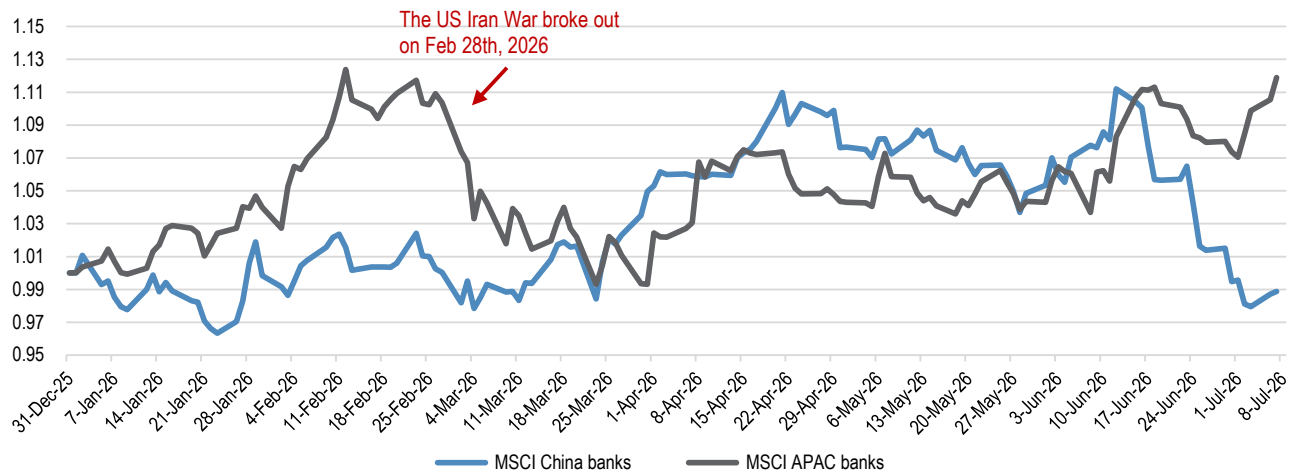
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underperformed MSCI APAC YTD by 33ppt and trades at 13.3x FY1 P/E vs MSCI APAC at 20.7x (Figure 2). And STAN is not a constituent stock in MSCI HK/China, nor in the HSI, despite its 167 years of operation in Hong Kong. **Third, headline profits growth in 2Q26 may be lackluster** due to the high base in 2Q25 with the \$0.2bn disposal gain from Solv India and elevated episodic income from the Financial Market business.

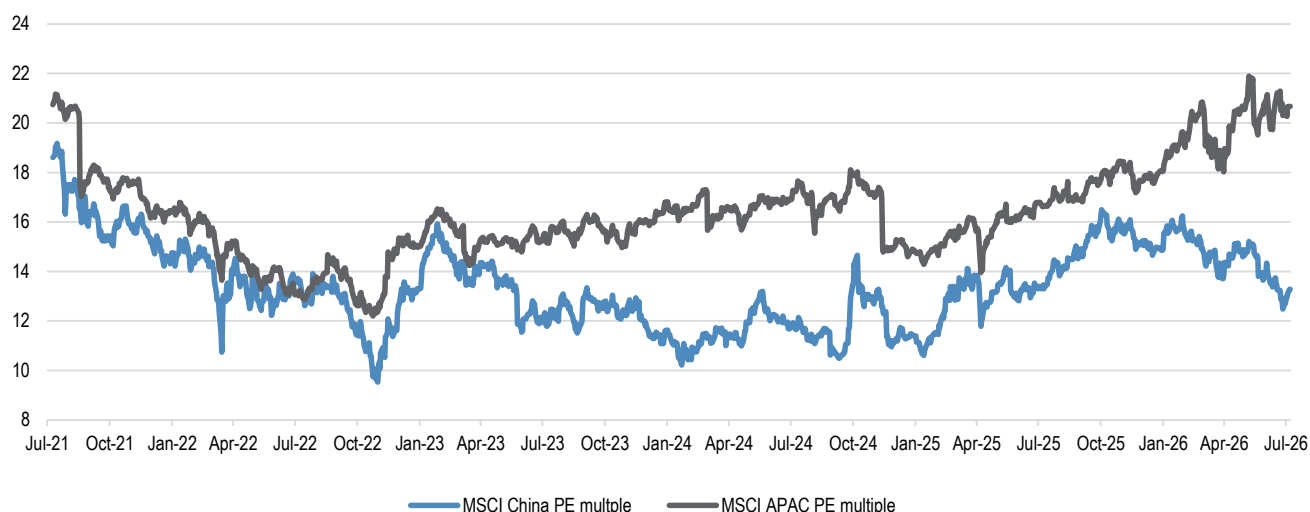
- **What to do from here? On China banks,** we believe today's strong performance is not sustainable, on back of limited earnings tailwinds and dividend yields that are not attractive enough, as shown in our prior analysis ([link](#)). We expect stocks to trade sideways into results. We expect SOE banks to deliver more solid 2Q26 results than JSBs, and we prefer CCB and BOC among SOE banks. That said, we prefer CMB-A and Citic Bank-H on a 6M view, as the dividend yield of CMB-A is 140bps higher than the Big 4 A-share SOE banks, while Citic-H's dividend yield is 110bps higher than the Big 4 H-share SOE banks. **On STAN,** we believe the weakness may present an opportunity to accumulate. We believe risk on ME exposure is manageable. And, in our view, STAN is on the right trajectory to deliver >15% ROTE by 2028 and 18% by 2030 as guided by management, up from 11.9% in 2025. Its current valuation looks attractive vs DM banks peers (Figure 3).

Figure 1: In the month after the Iran conflict started (on Feb 28), MSCI China banks rose by 5%, outperforming MSCI APAC banks by 15ppt



Source: Bloomberg Finance L.P. Data as of July 8, 2026. Note that we set the price as of Dec 31, 2025, as 1.0.

Figure 2: MSCI China is trading at 13.3x FY1 P/E, compared to 20.7x for MSCI APAC index



Source: Bloomberg Finance L.P. Data as of July 8, 2026.

Table 1: Quantifying HSBC's exposure to the Middle East

<i>In US\$ mn; as of 1Q26</i>	Total assets	Total loans (gross)	Revenue	PBT
HSBC Group	3,306,011	1,013,296	19,128	9,376
HSBC Middle East Limited	66,083	25,250	637	219
% of Group	2.0%	2.5%	3.3%	2.3%
HSBC Middle East plus Egypt, Turkey, and Saudi Arabia*				619
% of Group				6.6%

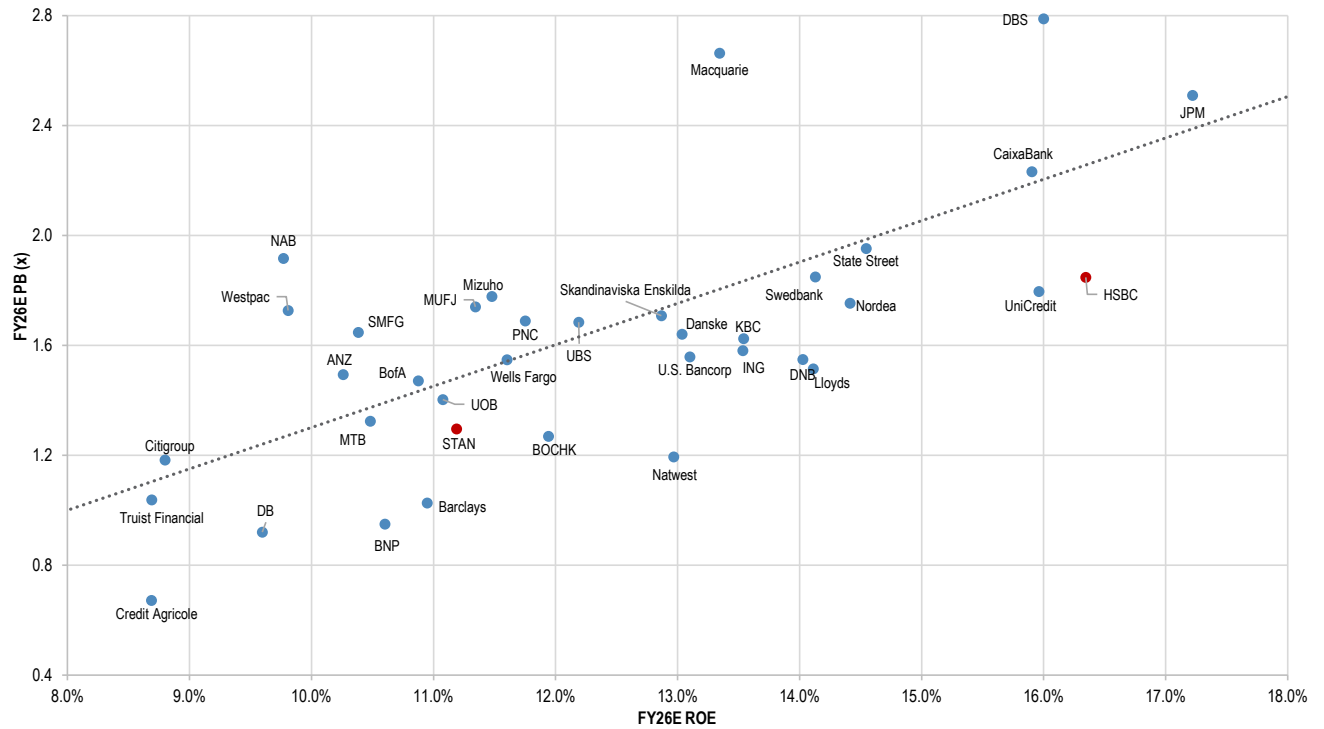
Source: Company data, J.P. Morgan. * Note: we include profits from associate Saudi Awwal Bank

Table 2: Quantifying STAN's exposure to the Middle East

<i>In US\$ mn unless otherwise stated; as of 1Q26</i>	Total exposure (US\$bn)	Total assets	Gross loan	Revenue	PBT
STAN Group	670	972,907	357,388	5,902	2,450
UAE	21	22,361	10,032	356	179
% of Group	3.1%	2.3%	2.8%	6.0%	7.3%
Middle East *	40				198
% of Group	6.0%				8.1%

Source: Company data, J.P. Morgan. Note: *STAN only disclosed its Middle East exposure in a 1Q26 presentation. For its Middle East PBT contribution, we refer to STAN's country-by-country disclosures in 2025 and calculate the PBT contributions of UAE, Bahrain, Qatar, Oman, Iraq, Saudi Arabia.

Figure 3: PB-ROE for DM banks – STAN looks attractive when compared to peers



Source: Bloomberg Finance L.P., J.P. Morgan estimates, Data as of July 8, 2026.

Companies Discussed in This Report (all prices in this report as of market close on 08 July 2026, unless otherwise indicated)

Bank of China - H(3988.HK/HK\$5.09/OW), China Citic Bank - H(0998.HK/HK\$7.01/OW), China Construction Bank - H(0939.HK/HK\$8.28/OW), China Merchants Bank - A(600036.SS/Rmb37.94/OW), Standard Chartered Plc (HK) (2888)(2888.HK/HK\$221.00/OW)

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Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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China Citic Bank - H (0998.HK, 998 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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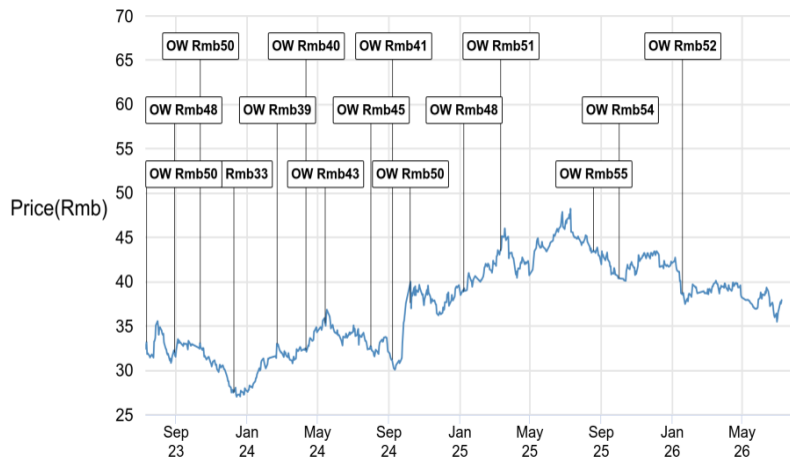
China Construction Bank - H (0939.HK, 939 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 04, 2006. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK\$)	Price Target (HK\$)
26-Jul-23	OW	4.43	6.3
17-Aug-23	OW	4.12	5.4
04-Oct-23	OW	4.24	5.9
12-Oct-23	OW	4.44	5.95
20-Dec-23	OW	4.49	6.05
05-Mar-24	OW	4.85	6.45
08-Apr-24	OW	4.81	6
19-Apr-24	OW	4.86	6.1
30-May-24	OW	5.69	6.55
02-Aug-24	OW	5.46	6.7
10-Sep-24	OW	5.34	6.75
08-Jan-25	OW	6.02	6.9
13-Mar-25	OW	6.65	7.55
18-Apr-25	OW	6.67	7.9
19-Aug-25	OW	7.71	9.2
24-Oct-25	OW	7.88	9.5
22-Apr-26	OW	8.96	9.8
08-Jul-26	OW	7.83	10.1

China Merchants Bank - A (600036.SS, 600036 CH) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Aug 04, 2004. All share prices are as of market close on the previous business day.

Date	Rating	Price (Rmb)	Price Target (Rmb)
13-Jul-23	OW	33.20	50
30-Aug-23	OW	32.04	48
13-Oct-23	OW	33.07	50
10-Dec-23	OW	27.50	33
22-Feb-24	OW	33.00	39
12-Apr-24	OW	32.30	40
15-May-24	OW	35.34	43
01-Aug-24	OW	32.73	45
08-Sep-24	OW	31.25	41
08-Oct-24	OW	37.61	50
08-Jan-25	OW	38.90	48
12-Mar-25	OW	43.51	51
19-Aug-25	OW	43.51	55
03-Oct-25	OW	40.41	54
19-Jan-26	OW	38.72	52

Standard Chartered Plc (HK) (2888) (2888.HK, 2888 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK\$)	Price Target (HK\$)
01-Aug-23	OW	74.25	90
07-Sep-23	OW	69.20	91
27-Oct-23	OW	59.75	83
16-Jan-24	OW	61.55	79
18-Jan-24	OW	57.35	78
28-Feb-24	OW	63.35	80
10-Apr-24	OW	68.25	82
03-May-24	OW	71.95	86
31-Jul-24	OW	76.90	94
04-Dec-24	OW	96.80	112
17-Feb-25	OW	108.20	120
24-Feb-25	OW	116.00	135
22-Jul-25	OW	141.30	148
04-Aug-25	OW	141.30	162
19-Oct-25	OW	142.00	168
03-Nov-25	OW	157.80	190
05-Feb-26	OW	203.40	265
01-Mar-26	OW	198.50	270
03-May-26	OW	190.80	275

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